

Jonathan when they used the framework he developed to riff on the topic.

Stages of FI

Joel's milestones are based on the FI community's idea that you are financially independent when your investments are twenty-five times your annual expenses. This idea comes from the 4% Rule, which is based on historical data that shows you can withdraw 4% of your portfolio on the day you retire, then continue to take the same amount, adjusted for inflation, every year going forward with little chance of running out of money. We'll examine the 4% Rule more closely in Chapter 12.

You can adjust milestones if you're taking a different investment approach and argue as to whether there should be more, less, or different benchmarks. Still, it's an interesting place to start the conversation on the way power and freedom increase as you travel the path to FI.

1) Getting to Zero

The first milestone is getting to zero net worth. Having a net worth of zero, literally being worthless, may not sound like something worth celebrating at first. But for those on the standard path through